

Configuring Indian GST in Microsoft Dynamics 365 Finance & Operations (F&O)

The Goods and Services Tax (GST) is a comprehensive indirect tax levied on the supply of goods and services in India. Businesses using Microsoft Dynamics 365 Finance & Operations (F&O) must configure GST correctly to ensure compliance with Indian tax regulations. Proper setup enables accurate tax calculations, reporting, and seamless filing with the government.

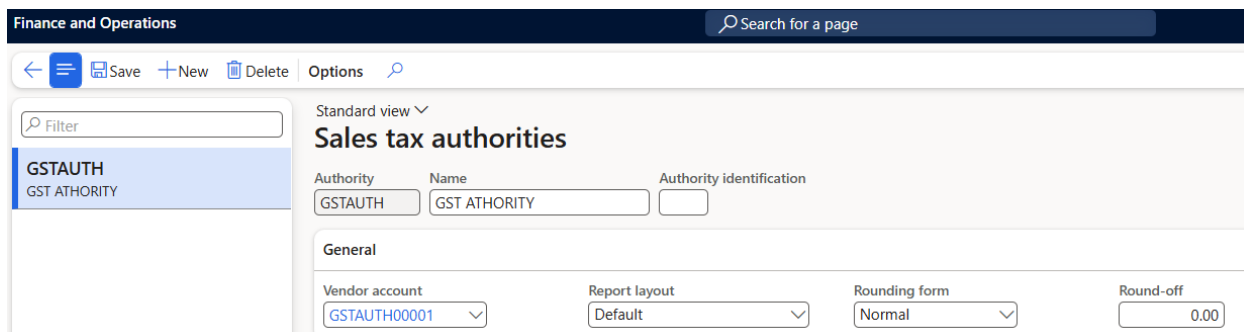
This article provides a step-by-step guide on configuring Indian GST in Dynamics 365, covering tax components, GST groups, registration, and invoice posting. We will also walk through the end-to-end process until GST settlement, including tax calculation, reporting, and payment submission. Understanding these configurations and workflows ensures businesses stay compliant while streamlining their tax operations.

GST Configurations

Sales Tax Authority

Navigation

Tax > Indirect tax > Sales tax > Sales tax authorities



The screenshot shows the 'Sales tax authorities' form in Microsoft Dynamics 365 Finance and Operations. The form is titled 'Sales tax authorities' and has a 'Standard view' dropdown. The left sidebar shows a list of 'GSTAUTH' entries. The main form area has fields for 'Authority' (GSTAUTH), 'Name' (GST AUTHORITY), and 'Authority identification'. Below these is a 'General' section with fields for 'Vendor account' (GSTAUTH00001), 'Report layout' (Default), 'Rounding form' (Normal), and 'Round-off' (0.00).

1. Update the authority here.
2. Update the name for identification
3. Put some code for identify the tax authority
4. Update the vendor account for GST taxation here (separate vendor account for TDS and GST are preferable).

Sales Tax Settlement Period

Navigation

Tax > Indirect tax > Sales tax > Sales tax settlement periods

Filter

GSTSETT

GST SETTLEMENT PERIOD

Standard view

Sales tax settlement periods

Settlement period

Description

GSTSETT

GST SETTLEMENT PERIOD

General

Authority

Terms of payment

Period interval unit

Period interval duration

GSTAUTH

Months

1

Period intervals

+ Add

Remove

New period interval

Settlements per interval

Sales tax per interval

☐	From date	To date	Blocked for settlem...
☐	01-06-2023	30-06-2023	
☐	01-07-2023	31-07-2023	
☐	01-08-2023	31-08-2023	
☐	01-09-2023	30-09-2023	
☐	01-10-2023	31-10-2023	
☐	01-11-2023	30-11-2023	
☐	01-12-2023	31-12-2023	
☐	01-01-2024	31-01-2024	
☐	01-02-2024	29-02-2024	
☒	01-03-2024	31-03-2024	

1. Update the settlement period and description over here
2. Map the tax authority here which is already created before
3. Update the period interval unit
4. Also update the period interval duration here
5. Click new period interval to create next period (Here period interval updated as month and interval duration provided as 1. So, the next month was created over there).

Business Verticals

Navigation

Tax > Setup > Sales tax > Business verticals

← Save + New Delete Options 🔍			
Business verticals			
Standard view ▼			
↺	Business verticals ↑	Description	Entity code
	Service	Service	01
	Retail	Retail	02
	Manufactur	Manufacturing Business	03
	Electronic	Electronic	04

Updating the business verticals, description and entity code by clicking new

Enterprise Tax Registration Numbers

Navigation

Tax > Setup > Sales tax > Enterprise tax registration numbers

Enterprise tax registration numbers

Select tax

Tax type

Registration number type

Indirect ▼

None ▼

Company ▼

Tax type	Registration number	Descript...	Shar
GST	09ABNPJ0778Q1ZR	JAIN IR...	
GST	09ACBPY8180A1ZF	JAGDIS...	
GST	09ADSPD3261F1ZJ	NEW IN...	
GST	09AJOPR9781N1ZU	KP FOO...	
GST	09BELPV7481N1ZA	ANNAP...	
GST	09BIXPJ8426K1ZC	DEEP E...	
GST	09BJDPG3942C1ZJ	R.R Tra...	
GST	09BORPG0032E1Z8	GUPTA ...	
GST	09CXPPK1493M1ZN	M/S PA...	
GST	09DDZPK2886R1Z0	RAMAP...	
GST	09DDZPK374982Z0	G.K. CO...	

Company

Customers

Vendors

Tax type

None

Registration number

29AADCG61...

Description

GNG ELECTRONICS PVT. LTD.

Shared

☒ Yes

1. Select tax as "Indirect"

2. Choose tax type as "GST"

3. Select the registration number type as “Company”
4. Update the registration number (GST) here
5. Provide a description for identification
6. Map the business verticals here.

Vendors and customer GST numbers also updated in the same form.

Update Vendors GSTIN by selecting “Registration Number Type” as Vendors

Enterprise tax registration numbers

Select tax

Indirect

Tax type

None

Registration number type

Company

Company

Customers

Vendors

Tax type	Registration number	Descript...	Shar
GST	09ABNPJ0778Q1ZR	JAIN IR...	
GST	09ACBPY8180A1ZF	JAGDIS...	
GST	09ADSPD3261F1ZJ	NEW IN...	
GST	09AJOPR9781N1ZU	KP FOO...	
GST	09BELPV7481N1ZA	ANNAP...	
GST	09BIXPJ8426K1ZC	DEEP E...	
GST	09BJDPG3942C1ZJ	R.R Tra...	
GST	09BORPG0032E1Z8	GUPTA ...	
GST	09CXPPK1493M1ZN	M/S PA...	
GST	09DDZPK2886R1Z0	RAMAP...	
GST	09DDZPK3749B2Z0	G.K. CO...	

Tax type

None

Registration number

29AADCG61...

Description

GNG ELECTRONICS PVT. LTD.

Shared

☒ Yes

Number Type” as Customers

Enterprise tax registration numbers

Select tax
Indirect

Tax type
None

Registration number type
Company

Tax type	Registration number	Descript...	Shar
GST	09ABNPJ0778Q1ZR	JAIN IR...	
GST	09ACBPY8180A1ZF	JAGDIS...	
GST	09ADSPD3261F1ZJ	NEW IN...	
GST	09AJOPR9781N1ZU	KP FOO...	
GST	09BELPV7481N1ZA	ANNAP...	
GST	09BIXPJ8426K1ZC	DEEP E...	
GST	09BJDPG3942C1ZJ	R.R Tra...	
GST	09BORPG0032E1Z8	GUPTA ...	
GST	09CXPPK1493M1ZN	M/S PA...	
GST	09DDZPK2886R1Z0	RAMAP...	
GST	09DDZPK3749B2Z0	G.K. CO...	

Tax type
None

Registration number
29AADCG61...

Description
GNG ELECTRONICS PVT. LTD.

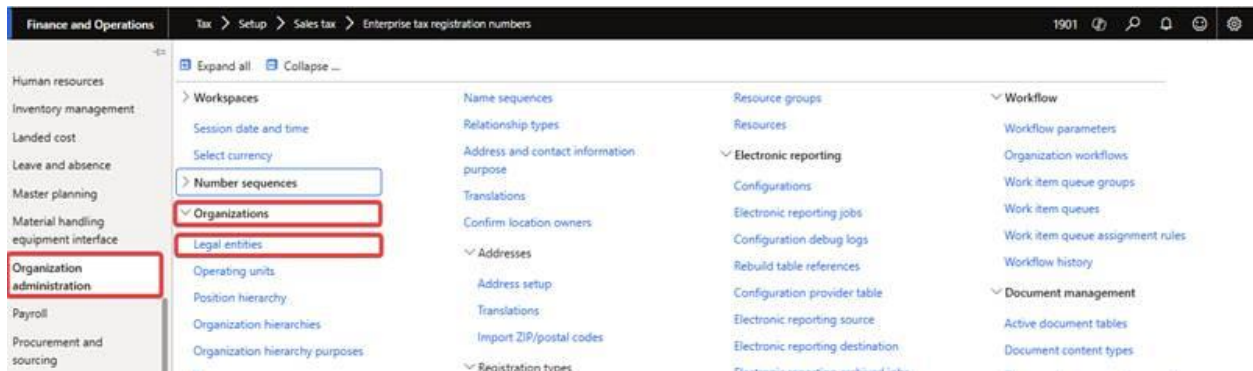
Shared
☒ Yes

Updating Tax Registration numbers against Company, Vendors and Customers

1. Company

Navigation

Organization administration > Organizations > Legal entities



Standard view ▾

Legal entities

Name: [Redacted] Company: 1901

Use for financial consolidation pr... ☐ Yes ☐ No

Localized functionality region: Detect using company address

TIME ZONE: Time zone (GMT) Coordinated Universal...

Addresses

+ Add Edit Map More options ▾

Name or description	Purpose	Primary
[Redacted] More	Business	Yes
[Redacted] Advanced 1		
[Redacted] IND		
[Redacted] Ernakulam, Kerala	Delivery	No
[Redacted] Ernakulam, Ernakulam -		
[Redacted] KL		
[Redacted] IND		

Click on “Advanced”

Manage tax information

Name or description

Primary

SECRET **RESTRICTED** **RESERVES PRIVATE LI...**

☐ Yes

GST

GSTIN/GDI/UID

CSAWNES15E77125

Reference number sequence group

GSTRG

Excise

Customs

Service tax

Sales tax

VAT

Withholding tax

Tax Account Number (TAN)

CS 6.033.17

1. Update the name or description
2. Set as “Primary” If needed
3. Choose the GSTIN from the dropdown list
4. Select the number sequence group

2. Vendors

Update the Tax registration number same as mentioned above.

Vendor master > Address > Select advanced > Tax information > Add

(Vendor GSTIN available under the dropdown list which already created under the enterprise tax registration number)

3. Customers

Update the Tax registration number same as mentioned above.

Customer master > Address > Select advanced > Tax information > Add

(Customer GSTIN available under the dropdown list which already created under the enterprise tax registration number)

Maintain Setoff Hierarchy Profiles

Navigation

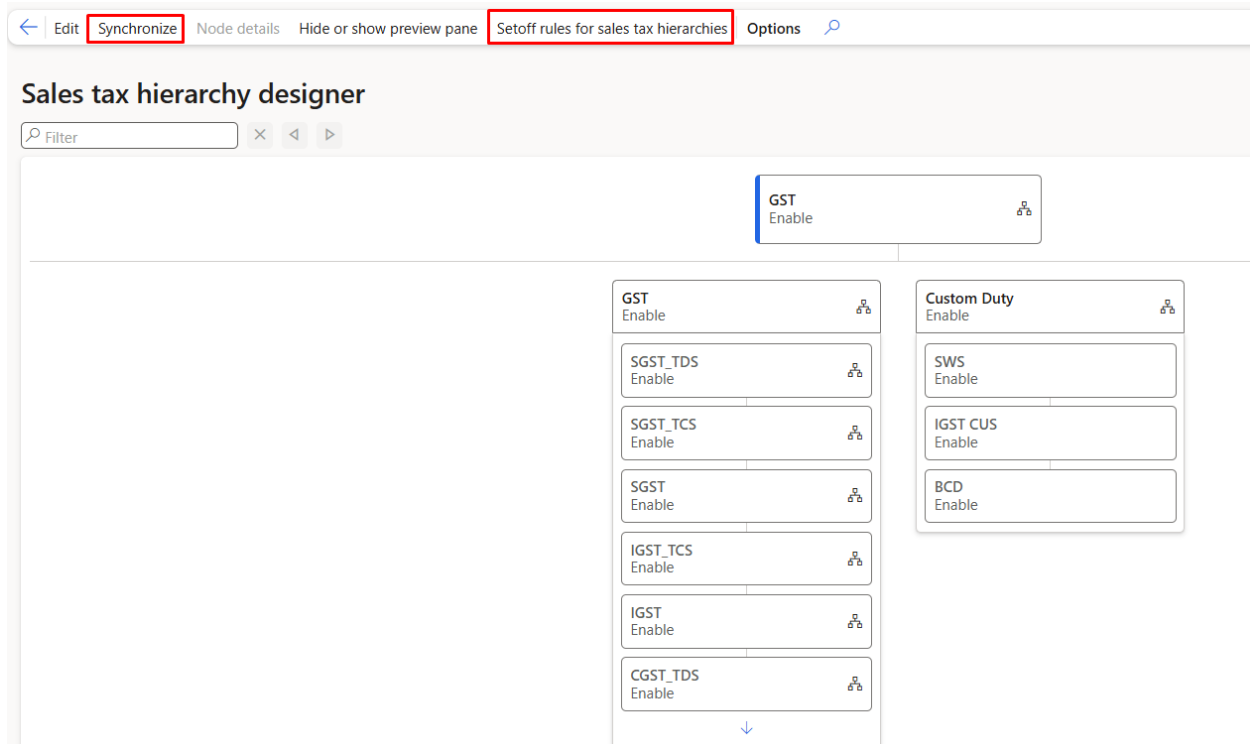
Tax > Setup > Sales tax > Maintain setoff hierarchy profiles

Select the effective date and sales tax hierarchy

Click ok

Name or description	Primary
Sales Private Limited	Yes
GST	
GSTIN/GDI/UID [REDACTED]	Reference number sequence group GSTRG
Excise	
Customs	
Service tax	
Sales tax	
VAT	
Withholding tax	
Tax Account Number (TAN) [REDACTED]	

1. Select structure
2. Enable the “use a sales tax hierarchy for tax setoff”
3. Select the line under the versions
4. Click view



Select the Setoff rules for sales tax hierarchies

After setting it should be synchronized

1. Nodes can be created here to set “setoff rules”
2. Separate nodes can be created to define the set off order for “IGST, CGST, SGST based on the priority

New nodes can be created by click new

HSN Codes and SAC

Navigation

Tax > Setup > Sales tax > HSN codes/ Service accounting codes

<a>← <a>Edit <a>+ New <a>Delete <a>Options <a>🔍	
Service accounting codes	
My view ▾	
Service accounting codes	Description
00440249	Technical testing and certification S...
00440406	RENTING OF IMMOVABLE PROPERT...
34029099	SOFT CARE DES EXTRA
34039900	DRYFORMANCE
8443	Hardware on Rent @18%
85389	OIL FILTRATION 1.6 MVA TRANSFO...
995363	ADVERTISING NEWS PAPER
9954	Construction services of single dwe...
995415	Construction services of other non-r...

Create HSN codes for items based on the requirements

Create service accounting code for service items as per the requirements

Update the HSN code/SAC for items

Navigation

Product information management > Products > Released Products

KH00002195 : THROUGH BEAMSENSOR,LV-39 LV-39VISOLUX 88

General					
IDENTIFICATION Product type Item Product subtype Product Item number KH00002195 Product number KH00002195 FURTHER IDENTIFICATION Product name THROUGH BEAMSENSOR,LV-...	Search name THROUGHBEAMSEN... Description EAN Code 	Item Type Finish Goods Create Item Pack Type Pack Type Group RGB Item 	RGB Variant ITEM TAX GROUP Item Tax Group ADMINISTRATION Storage dimension group SDG02 Tracking dimension group TDG01	Item model group IMG03 Reservation hierarchy Counting reason code policy Product lifecycle state Advanced notes group 	GST HSN codes 08021200 Service accounting codes Exempt ☐ No ☐ Non-GST ☐ No TAX RATE TYPE Tax rate type

Under the general tab there are fields to update the HSN/SAC

Configure the Details Which Already Created

Navigation

Tax > Setup > Tax configuration > Tax setup

My view ▾

Tax setup

OVERVIEW

TAX CONFIGURATION

Tax setup	Reference
India	Tax (India GST)
Description	Version
India	81.138.247

Companies

+ New Delete Activate Deactivate Setup Parameters

Companies	Status
India	Active

Click on “Setup”

LEZ : SLING-LEZ | my view ▾

Setup

Accounting **Tax type mapping**

Tax type

GST ▾

Configuration version

ACX_RCM_... 81.138.247.4 ▾

- ▲ Tax document
- ▲ Header
- ▲ Lines
 - Miscellaneous Charge Line
 - ▲ Custom Duty
 - ▲ BCD
 - Rate
 - Load on Inventory Percentage
 - ▲ SWS
 - Rate
 - Load on Inventory Percentage
 - IGST CUS
 - ▲ **GST**
 - ▲ CGST

The Configured version is already updated here.

Select the “GST” node and select the “Tax type mapping”

Update the tax type as “GST”

Configuration version
ACX_RCM_... 81.138.247.4

- ▲ Tax document
 - ▲ Header
 - ▲ Lines
 - Miscellaneous Charge Line
 - ▲ Custom Duty
 - ▲ BCD
 - Rate
 - Load on Inventory Percentage
 - ▲ SWS
 - Rate
 - Load on Inventory Percentage
 - IGST CUS
 - ▲ GST
 - ▲ CGST
 - Rate
 - Reverse Charge Percentage
 - Load on Inventory Percentage
 - ▲ SGST
 - Rate
 - Load on Inventory Percentage
 - Reverse Charge Percentage
 - ▲ IGST
 - Rate

Setup

Accounting Reporting

Conditions

+ Add Remove Import Export Delete all Show Duplicates

☐	☐	GST Registration ...
☒	☐	09AAYCS4927P ▾
		23AAYCS4927P1...
		05AAYCS4927P1...
		10AAYCS4927P1...
		05AAYCS4927P2...
		09AAYCS4927P5...

Values

☐	☐	Posting type	Main account
☒	☐	Tax Recoverable	2320200004 ▾
		Tax Payable	2320200008
		Tax Expense	
		Interim Payable	2320200016
		Interim Recoverable	2320200012

Add G SIN in the condition under the “Accounting” and update the posting profiles under the values for 1. CGST, 2. SGST, 3. IGST, and 4. CESS

ACX_RCM... 81.138,247.4

Load on Inventory Percentage

SWS

Rate

Load on Inventory Percentage

IGST CUS

GST

CGST

Rate

Reverse Charge Percentage

Load on Inventory Percentage

SGST

Rate

Load on Inventory Percentage

Reverse Charge Percentage

IGST

Rate

Load on Inventory Percentage

Reverse Charge Percentage

CESS

Rate

Reverse Charge Percentage

Load on Inventory Percentage

Setup

Lookups

Conditions

+ Add

Remove

Import

Export

Delete all

Show Duplicates

		GTA-Commercial...	HSN Code	SAC	Party GST Registration Num...	Tax Direction	Percentage (%)	
☐	☐			998500			100.000000	
				996423			100.000000	
				998525			100.000000	
				99679			100.000000	
				99821			100.000000	
				996412			100.000000	

In case of reverse charge mechanism, Update the details under the condition for CGST, SGST, IGST